

able to sell my house at the price I want when that time comes? Will I have to borrow money? What is my credit score? Most working people struggle to cover their living expenses let alone save enough for future obligations including retirement. They question when or whether they will be able to retire, and if they do retire, whether they will have a lifestyle that makes them comfortable. In the final years of life, decisions must be made about who gets our unspent money, how they get the money, and who is going to execute our estate. Money management is a never-ending battle from the time we get our first paycheck until we end our stay on this great planet.

Money matters are stressful, and investment decisions are part of that stress. When we save a little money, we don't want to lose it by investing poorly. Yet we do want a respectable rate of return. The earlier in life a person learns to invest money, the better off that person will be both financially and emotionally.

Unfortunately, proper investing principles are not taught to the general public. There are no required courses on investing in high schools or trade schools or as part of a required curriculum at colleges, law schools, or medical schools. In addition employers do not require employees to educate themselves about investing their 401(k) or other retirement accounts. The government does not get between investors and their money unless there is fraud or misrepresentation involved. The public is all alone on financial education, and, unfortunately, that typically results in an expensive trial-and-error process.

Learning about investing through trial and error takes years of disappointments before you are able to discern good information from bad. It is very common for people to slip far behind the market averages during this learning period, and most people never make up the losses. When people realize that they have made investment mistakes and have fallen behind, they tend to compensate by becoming either overly conservative or overly aggressive. Both are bad. Once-burnt, twice-shy investors may not reach their financial goal if they do not formulate a plan that is aggressive enough to get there. Other people may become more aggressive in an attempt to get their money back quickly. The newspapers regularly print stories of people who decided to swing for the fences only to end up losing much more or being swindled by an unscrupulous advisor.